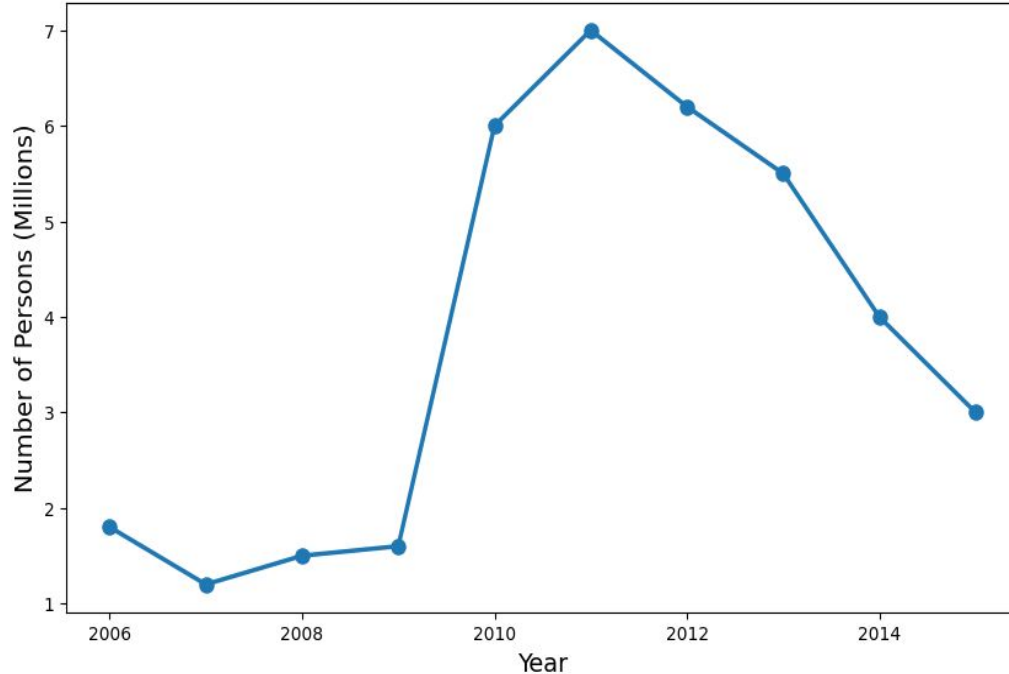


The Story of LongTerm Unemployment

Gottam Pranathi

The Trend of Long Term Unemployment

Total Long-Term Unemployed (Yearly Average)



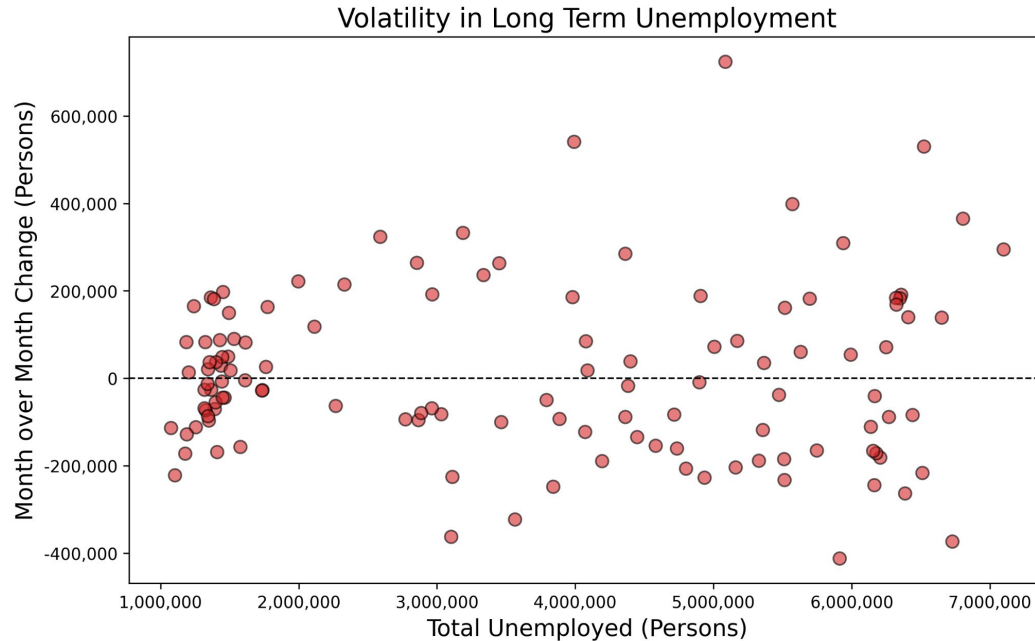
- Steady baseline unemployment from 2005 through 2008.
- Drastic spike beginning in late 2008, peaking near 7 million people around 2010.
- Gradual, slow recovery period extending from 2011 to 2015.

The Impact of Age and Gender



- Men generally experience higher raw numbers of long term unemployment than women across all adult age groups.
- The 25-34 and 35-44 age brackets represent the largest segments of the long-term unemployed.
- Younger demographics (16-19) show lower raw numbers, likely due to a smaller total labor force participation.

Labor Market Volatility



- Total unemployment levels directly correlate with month-over-month market fluctuations.
- Lower baseline unemployment results in a stable market with minor monthly changes.
- High unemployment triggers extreme volatility, with monthly swings of hundreds of thousands of jobs.

Conclusions

- Economic shocks have a long tail taking half a decade for long term unemployment to recover from the 2008 crash.
- Prime working age men absorbed the most significant blow indicating targeted devastation in specific industries.
- A high unemployment environment is inherently unstable and complicates economic recovery efforts.